

IDBI Innovate 2026

Problem Statement Analysis, Scoring & Recommended Build Plan for Track 03

1. About IDBI Innovate 2026

IDBI Innovate 2026 is a national-level AI/fintech hackathon hosted on Hack2skill in partnership with IDBI Bank, launched on June 10, 2026 under the theme 'Build. Integrate. Transform.' Startups, FinTechs, and professionals compete across five problem statement tracks sourced directly from IDBI Bank's business units, with a total prize pool of Rs 15,00,000 and a direct path to Proof-of-Concept deployment within the bank for top solutions.

2. The Five Problem Statement Tracks

Track	Focus Area	Core Requirement
Track 01	Digital Wealth Management	AI-powered avatar-based advisory app for personalized wealth management
Track 02	Prospect Assist AI	Data-driven retail lending lead engine targeting >30% conversion using transaction/bel
Track 03	MSME Financial Health Score	AI/ML-driven Financial Health Card using alternate data (GST, UPI, AA, EPFO) for cre
Track 04	Default Prediction Model	Predictive default-risk model improving accuracy from 16-22% to ~90%, forecasting str
Track 05	Novel Innovation (Wildcard)	Open innovation track for disruptive concepts outside defined scopes

3. 360-Degree Scoring Analysis

Each track was evaluated across four lenses: ease of building/vibecoding, strategic impact for IDBI, independent startup potential, and appeal to hackathon judges. Scores are on a 1-10 scale.

Track	Ease/Vibecodable	Impact for IDBI	Startup Potential	Judge Appeal	Overall
T01 - Wealth Avatar	5	6	7	8	6.5
T02 - Prospect Assist AI	6	8	6	7	6.8
T03 - MSME Financial Health Score	9	9	8	8	8.3
T04 - Default Prediction Model	4	9	6	6	6.3
T05 - Wildcard/Novel	3	5	8	5	5.3

3.1 Track-wise Analysis (PM, IDBI & Judge Perspective)

Track 01 - Digital Wealth Avatar

High scope for a hackathon sprint (conversational AI + avatar UX + investment logic). Medium priority for IDBI as it is a UX differentiator, not core infra. Judges are impressed visually but probe advisory-logic depth. Competitive intensity is very high globally: OCBC launched 'OCBC WoW' with AI avatars 'Wendy' and 'Wayne' for 24/7 portfolio advisory, and Citi runs a similar system called 'Citi Sky' for Citigold clients.

Track 02 - Prospect Assist AI

Clean, well-bounded ML problem with a clear success metric (>30% conversion). Moderately vibecodable using synthetic transaction data. High priority for IDBI since lead conversion hits lending revenue directly. Startup potential is capped as it behaves like an internal bank tool. Competitive landscape is mostly enterprise B2B vendors (Salesforce FSC, Pega-style engines) with no dominant branded product.

Track 03 - MSME Financial Health Score (Recommended)

Highly vibecodable via data-fusion agents. Highest strategic value for IDBI, aligned with national Account Aggregator/OCEN/ULI financial inclusion push. High judge appeal due to quantifiable social impact and technical depth. Most startup-viable track since MSME alternate-data credit scoring is a proven, fundable model (e.g., CredMate) even outside the IDBI relationship. NBFC benchmarks show approval rates rising from ~16% to ~48% of MSMEs and NPA rates improving from 5.9% to 4.1% after adopting alternate-data scoring.

Track 04 - Default Prediction Model

Most technically demanding track; raising accuracy from 16-22% to ~90% is a hard data-science problem, not suited to fast vibecoding. Highest P&L; impact for IDBI since it protects the loan book directly. Judges will penalize shallow accuracy claims without real validation. Startup potential is weak since models trained on proprietary bank data rarely transfer externally.

Track 05 - Wildcard/Novel Innovation

Hardest to vibecode credibly with no defined success metric or reference architecture. Lowest priority for IDBI as it does not map to a measurable business-unit gap. Good startup potential due to being unconstrained, but judging outcomes are unpredictable.

4. Existing Solutions Landscape (India & Global)

Track	Existing Solutions	Competitive Intensity
T01	OCBC WoW (avatars Wendy & Wayne, Singapore), Citi Sky (Citi, USA)	High - live enterprise deployments
T02	Enterprise CRM/lead-scoring vendors (Salesforce FSC, Pega-style engines)	Low-Medium - mostly unbranded B2B
T03	CredMate (India), multiple NBFC alternate-data scoring pipelines using GST/UPI/Hackathon data	High - proven commercial model
T04	Confer Solutions (AI risk assessment SaaS), extensive academic ML default-prediction research	Medium - fragmented, no dominant brand
T05	No direct benchmark; loosely comparable to decentralized identity / Web3 identity projects	Unclear

5. Why We Chose Track 03

Track 03 is the only track where ease of building, IDBI's strategic priority, judge scoring criteria, and independent startup viability all align simultaneously. It scored highest overall (8.3/10) across the four evaluation dimensions. Unlike Track 02 (good for IDBI but weak standalone potential), Track 04 (high impact but too technically demanding to execute credibly in hackathon timelines), or Track 05 (flexible but unpredictable judging), Track 03 lets us build a working, demonstrable MVP using an agentic, multi-source data-fusion architecture that directly reuses proven patterns from multi-agent orchestration systems. The existence of a real competitor like CredMate is treated as validation, not a blocker - it proves the model works commercially, and our differentiation is on the explainability layer (RBI mandates that scorecards must be explainable) and agentic modularity (ability to plug in new data sources without retraining the entire pipeline).

6. What We Will Build: MSME Financial Health Card

The core product is an AI-driven MSME Financial Health Card platform that pulls in GST, UPI, Account Aggregator (AA), and EPFO data for a small business, fuses them through a multi-agent scoring engine, and outputs a single explainable health score along with a visual breakdown of strengths and risks.

6.1 Core Architecture

- GST Agent - extracts filing regularity, revenue trend and tax compliance from GSTIN data
- UPI Agent - analyzes transaction volume, merchant diversity and cash-flow consistency from synthetic UPI datasets
- AA Agent - extracts bank statement cash flow, EMI discipline and balance maintenance via Account Aggregator framework
- EPFO Agent - verifies employee count and payroll consistency as a proxy for business stability
- Scoring Orchestrator - fuses all four agents' outputs into one composite Financial Health Score (300-900 scale) with an explainability module for RBI compliance
- Visualization Layer - dashboard showing the score plus a radar/breakdown chart of strengths versus risks

6.2 Example User Flow

- 1 Onboarding: MSME owner logs into a lender-facing portal or IDBI app and enters GSTIN and mobile number

- 2 Consent capture: App requests granular, source-specific consent for GST, UPI (via AA), matching DPDP Act requirements
- 3 Data pull: Four agents simultaneously query sandbox APIs for GST filings, UPI transactions, AA bank statements and EPFO records
- 4 Score computation: Orchestrator computes a multidimensional score within seconds to minutes
- 5 Result display: Business owner or IDBI relationship manager sees the Financial Health Card - overall score, dimension breakdown, plain-language explanation
- 6 Credit decision integration: Score feeds into IDBI's loan origination system via ULI/OCEN-compatible APIs for real-time approval or manual review flag
- 7 Continuous monitoring: Score refreshes periodically as new GST/UPI data streams in, enabling post-disbursement portfolio tracking

6.3 Alignment With IDBI's Judging Criteria

IDBI Requirement	How Our Build Satisfies It
Aggregates GST, UPI, AA, EPFO data	Four dedicated specialized agents, one per data source
Multidimensional financial health score	Orchestrator combines agent outputs into one composite, explainable score
Visualizes strengths and risks	Radar/breakdown dashboard per business
Integrates with ULI/OCEN/AA ecosystems	API-first design built on IDBI's sandbox banking APIs
Near real-time assessment	Parallel agent queries return scores within minutes
Expands credit-invisible MSME onboarding	Alternate-data approach lifts approval rates from ~15% to 35-50% based on industry benchmark

6.4 Differentiation Strategy

Since CredMate already proves this model works commercially using GST and UPI data, our pitch will focus on two things judges will specifically probe: the explainability layer (since RBI mandates scorecards be explainable, not black-box), and agentic orchestration speed and modularity - the ability to plug in a new data source like EPFO without retraining the whole pipeline, which a hand-coded scoring formula cannot do as easily.